

When price gapped higher (breakaway gap) at E and broke out upward (closed above the price of X), he bought the stock long and received a fill at 47.59 (the opening price the next day). He placed a stop at 43.21 or 9% below his purchase price. That's a few pennies below the minor low just after D (2 days before the gap). He placed an order to sell if the stock reached the 61.12 target.

Price continued moving higher and higher.

At H, price formed a minor high. When it resumed its upward trend, gapping higher again (a breakaway gap) above the peak at H, he raised his stop to K (below the minor low).

At F, the stock peaked at 60.73, close to his 61.12 target. But it closed down substantially, almost hitting his stop-loss order.

He remained in his trade but became nervous. "I should have sold near the peak." He pointed to his screen, at F. Isn't hindsight wonderful?

At I, the stock made a minor low. When it gapped higher (area gap) two days later, he raised his stop to 53.72, just below I.

At J, the stock dropped to his stop and took him out of the trade. If he held on for a few more weeks, the stock would have hit his 61.12 target at G and taken him out for a larger profit.

He bought at 47.59, sold at 53.72, and made 6.13 a share (13%). Had he held on until price reached his target, he would have made 13.53 a share or 28%.

The stock peaked at G, the ultimate high, at 61.45. After that, it dropped all the way down to 38 and change.